

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester VI Examination, 2022-23

Paper No. BCF-323: Derivatives Market Operations

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. What are Derivatives? How do these instruments help the hedgers? Explain. [14]

OR

Write short notes on the following:

(a) Futures contract [7]

(b) Index Futures Trading in India [7]

Question 2. What are futures contracts? How are futures contracts different from forward contracts? Explain. [14]

OR

Describe the major factors driving the growth of derivatives markets in India. [14]

Question 3. What do you understand by Option contract? Discuss the different factors that influence option pricing. [14]

OR

Differentiate between call and put options and discuss the rights and obligations of the holders of long and short positions in them. [14]

Question 4. What are various types of Swap? Explain with suitable example. State its limitations. [14]

OR

What is currency swaps? Describe the usefulness of swaps in reducing exchange rate risk. [14]

Question 5. Discuss in detail the recommendations of L.C. Gupta Committee in derivative trading in India. [14]

OR

Write notes on the following:

(a) Value of Option [7]

(b) Pricing in Swaps [7]

[Click here to visit our website](#)
[Click here to visit our contributor](#)
[Click here to visit our contributor](#)